

...Is a Universal Scam

If the credit card company nabs you for universal default, they lower the boom and give you their worst rate. The *average* default rate is around 24%, so that means that some cards charge even higher. The credit card companies have no problem with the concept. If the bank across the street gets to raise the customer's rate because the customer had a bad day, we all get to raise our rates. Any hint of price control structures elsewhere makes people crazy. We scream about that in other industries. The credit card industry seems to exist in a protected bubble that we humble citizens just can't seem to pierce.

The whole deal of universal default makes me want to scream. If a person in a tough financial position makes a late payment or misses a payment with one bank or credit card company just once, for whatever reason, and however minimally, all the rest of his credit cards and creditors could sock him with a higher interest rate now. He gets blindsided! He is being punished by all the lenders, and it can be severe. The dreaded downward spiral happens and he starts defaulting with all his creditors. The vicious cycle really is vicious and vindictive. How in the world is that helpful to anyone?

Even more unbelievable is that an error on the credit report can trigger universal default! And nothing can un-trigger it!

It is highly possible that the item on the credit report that caused them to sing "universal default" is actually erroneous information. It doesn't matter. Even if you get the error corrected on your credit report (after reading this book, you, of course, will do that), that is not an instant fix. The error correction can be posted to your credit report, but the credit card companies can still keep your rate jacked up! You have no legal right to force them to return your rate back to what it was before the universal default kicked in. What is wrong with this picture?!

That Is 100% Stupid!

Let's use the analogy of a teacher making an error in his grade book for your final exam. You earned an A, but the teacher inadvertently drops down a line while recording grades and gives you an F. This means you fail the course and have to repeat it next year. You show the graded